

Thungela Resources

Financial Analysis

5-Year Performance Evaluation & Capital Allocation Profile (2021-2025)

ANALYST PORTFOLIO: HARRY

The Demerger Context

In June 2021, Thungela successfully demerged from Anglo American, establishing itself as a pure-play thermal coal producer in South Africa. This analysis tracks the transition from foundational base year to market peak and correction.

Coal Benchmark Volatility

Significant macro headwinds shaped the 5-year trend:

- 📈 **2022 Peak:** Benchmark coal hit \$270.87/t due to the global energy crisis.
- ⬇️ **2023 Correction:** Prices fell to \$121.00/t as stockpiles normalized.
- 💰 **2025 Compression:** A stronger Rand relative to USD squeezed export revenue margins.



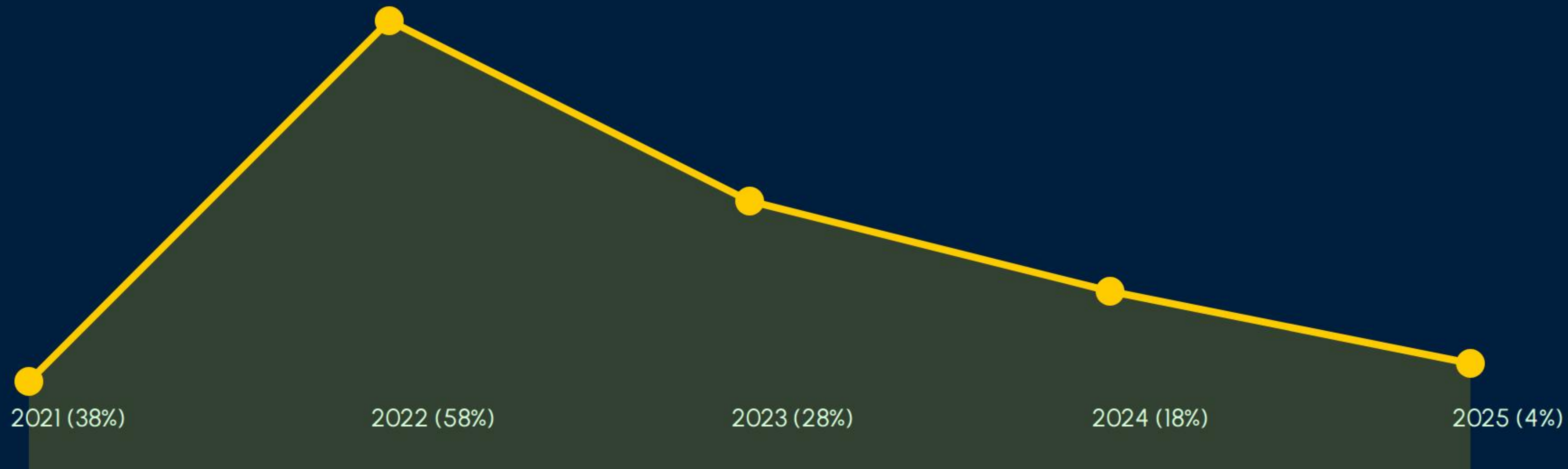
5-Year Income Statement Highlights

ZAR Millions	2021	2022	2023	2024	2025
Revenue	26,282	50,753	30,634	35,554	29,599
Adjusted EBITDA	9,978	29,530	8,454	6,255	1,216
Net Profit / (Loss)	6,938	18,205	4,970	3,544	(7,107)

Note: 2025 results significantly impacted by non-cash impairment losses following lower price forecasts.

EBITDA Margin Performance Trend

$$\text{EBITDA Margin} = \frac{\text{Adjusted EBITDA}}{\text{Revenue}} \times 100$$



The "Margin Squeeze" is clearly visible as operational costs caught up with falling realized prices.

| 2025 Cash Flow Bridge Bridge



Cash From Ops

+2,368M

Operations remained cash positive despite margin compression.



CapEx Spend

-3,087M

Sustaining capital investment into lifex projects (Annea Colliery).



Dividends

-1,670M

Honoring shareholder returns despite negative free cash flow.

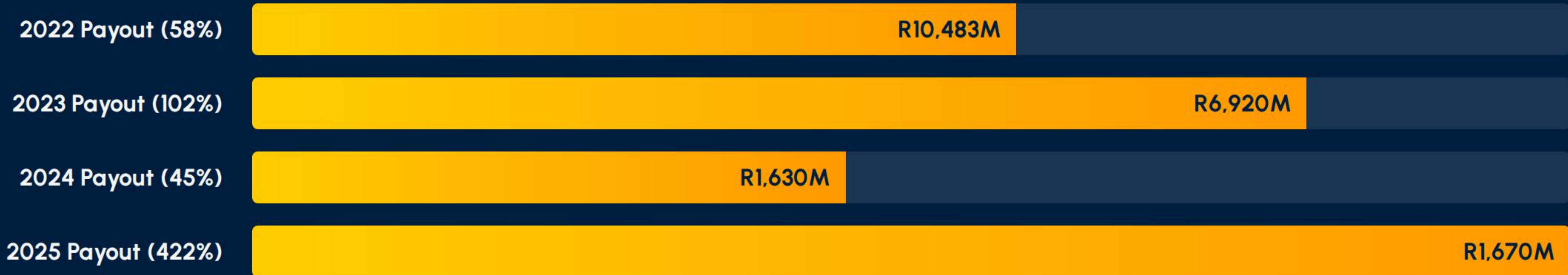


Net Cash Impact

-2,389M

Bridge to 2025 final cash position using built-up reserves.

Dividend Profile & Shareholder Yield



Strategic Decision: The 2025 payout ratio of **422%** demonstrates management's commitment to returning capital during downturns by utilizing the R10B+ cash buffer built in 2022.

| Rail Logistics & Inventory Growth

The "Bottleneck" story is central to Thungela's operational challenge:

-  **TFR Performance:** Consistently below export capacity.
-  **Stockpile Build:** Inventory jumped from R3.1B (2022) to R4.0B (2023).
-  **Trapped Cash:** Mining occurred but sales slipped due to rail unavailability.



Balance Sheet: Debt-Free Profile

ZERO

Total External Debt (Excl. Leases)

Cash Pillar Strength

Thungela's resilience stems from its net cash position, which peaked at **R15.3 Billion** in 2022. Even after the 2025 correction, the group maintains **R6.07 Billion** in liquidity.

This allows for continued funding of lifex projects (Zibulo North Shaft) without relying on tightening credit markets for thermal coal.

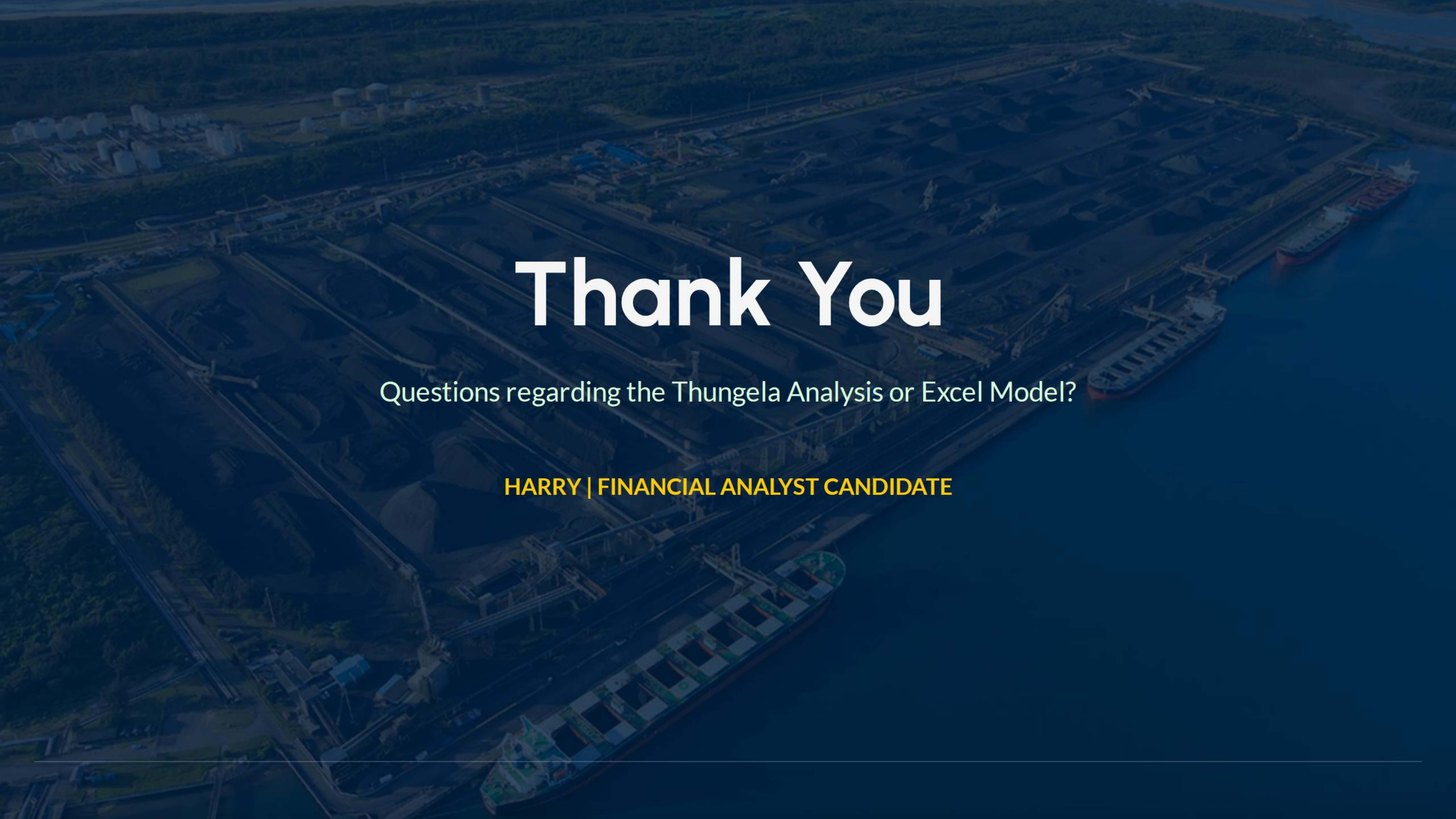
Analytical Performance Summary

Metric Type	The Peak (2022)	The Squeeze (2025)	Strategic Implication
EBITDA Margin	58%	4%	Cost containment is critical
FCF Conversion	61%	33%	Impact of stockpiled inventory
Net Cash (M)	15,299	6,071	Strong liquidity buffer
Debt-to-Equity	N/A	N/A	Unleveraged growth model

| Analytical Process & Technicals

-  **Complex Modeling:** Built dynamic 5-year multi-scenario financial model.
-  **Data Normalization:** Handled regional comma formatting and decimal logic.
-  **Visualization:** Created Waterfall Bridges, Dual-Axis Combo Charts, and Symmetrical Stacked Bars.
-  **Insight Generation:** Translated raw annual report data into strategic narratives.

 Analyst Desk



Thank You

Questions regarding the Thungela Analysis or Excel Model?

HARRY | FINANCIAL ANALYST CANDIDATE

| Image Sources



<https://www.glencore.com/dam/jcr:88f2bb9e-ee85-41eb-9891-6457733074b6/collinsville-open-cut-1600x900.jpg>

Source: www.glencore.com



<https://www.supplychainbrain.com/ext/resources/2022/10/17/TRANSNET-TRAIN-RAIL-SOUTH-AFRICA-BLOOMBERG.jpg?height=635&t=1666067864&width=1200>

Source: www.supplychainbrain.com



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